Chapter 06: Trade Regulations and Industrial Policies

1. The World Trade Organization was established by the ____ of multilateral trade negotiations.
   a. Kennedy Round
   b. Tokyo Round
   c. Uruguay Round
   d. Clinton Round

ANSWER: c

FEEDBACK:
   a.
   b.
   c. On January 1, 1995, the day that the Uruguay Round took effect, GATT was transformed into the WTO.
   d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: World Trade Organization
KEYWORDS: BLOOM'S: Remember

2. Under U.S. commercial policy, the escape clause results in
   a. temporary quotas granted to firms injured by import competition.
   b. tariffs that offset export subsidies granted to foreign producers.
   c. tax advantages extended to minority-owned exporting firms.
   d. duties that offset commercial dumping on the part of foreign firms.

ANSWER: a

FEEDBACK:
   a. The escape clause provides temporary safeguards (relief) to U.S. firms and workers who are substantially injured from surges in imports that are fairly traded. To offset surging imports, the escape clause allows the president to terminate or modify trade concessions granted to foreign nations and to levy trade restrictions.
   b.
   c.
   d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Safeguards (The Escape Clause): Emergency Protection from Imports
KEYWORDS: BLOOM'S: Remember

3. Adjustment assistance is sometimes used to assist

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a. in retraining workers displaced by imports.
b. in retraining workers displaced by exports.
c. foreign firms injured by our quotas.
d. foreign firms injured by our tariffs.

ANSWER: a

FEEDBACK:
a. Because foreign competition may displace import-competing producers, the United States and other nations have initiated programs of trade-adjustment assistance involving government aid to adversely affected businesses, workers, and communities.
b.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Adjustment Assistance
KEYWORDS: BLOOM'S: Remember

4. The Export-Import Bank of the United States (Eximbank) encourages American firms to sell overseas by providing direct loans and loan guarantees to foreign purchasers of American goods. To American firms, this represents a
a. specific subsidy.
b. ad valorem subsidy.
c. domestic subsidy.
d. export subsidy.

ANSWER: d

FEEDBACK:
a.
b.
c.
d. Eximbank provides export subsidies to American manufacturers to encourage international sales, thus providing jobs for Americans.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Industrial Policies of the United States
KEYWORDS: BLOOM'S: Understand

5. The Smoot-Hawley Tariff Act of 1930 has generally been associated with
a. falling tariffs.

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b. increases in the volume of trade.
c. intensifying the worldwide depression.
d. efforts to liberalize nontariff trade barriers.

ANSWER: c

FEEDBACK:
a.
b.
c. Following the Smoot–Hawley Tariff Act of 1930, which raised U.S. tariffs to an average level of 53 percent, other nations retaliated by increasing their own import restrictions, and the volume of world trade decreased as the global economy fell into the Great Depression.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Smoot-Hawley Act
KEYWORDS: BLOOM'S: Understand

6. Under U.S. commercial policy, which clause permits the modification of a trade liberalization agreement on a temporary basis if serious injury occurs to domestic producers as a result of the agreement?

a. adjustment assistance clause
b. escape clause
c. most-favored-nation clause
d. reciprocal-trade clause

ANSWER: b

FEEDBACK:
a.
b. The escape clause provides temporary safeguards (relief) to U.S. firms and workers who are substantially injured from surges in imports that are fairly traded. To offset surging imports, the escape clause allows the president to terminate or modify trade concessions granted to foreign nations and to levy trade restrictions.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Safeguards (The Escape Clause): Emergency Protection from Imports
KEYWORDS: BLOOM'S: Remember

7. Which policy reflects the notion that if society enjoys gains that are due to increased efficiency stemming from trade

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liberalization, some sort of compensation should be provided to those who are temporarily hurt by import competition?

a. countervailing duties
b. trade adjustment assistance
c. domestic subsidies
d. most-favored-nation standard

ANSWER: b

FEEDBACK:

a.
b. Because foreign competition may displace import-competing producers, the United States and other nations have initiated programs of trade-adjustment assistance involving government aid to adversely affected businesses, workers, and communities.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Adjustment Assistance
KEYWORDS: BLOOM'S: Remember

8. The Uruguay Round of Multilateral Trade Negotiations accomplished all of the following, except

a. placed primary emphasis on nontariff trade barriers
b. estimated to yield modest gains in world output and employment
c. achieved cuts in tariffs but not in nontariff trade barriers
d. abolished all barriers to trade in agricultural products

ANSWER: c

FEEDBACK:

a.
b.
c. The Uruguay Round achieved cuts in tariffs. Progress was also made in decreasing or eliminating nontariff barriers.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: General Agreement on Tariffs and Trade
KEYWORDS: BLOOM'S: Remember

9. The General Agreement on Tariffs and Trade (GATT) and its successor, the World Trade Organization, have resulted in

a. termination of export subsidies applied to manufactured goods.

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b. termination of import tariffs applied to manufactured goods.
c. encouragement of beggar-thy-neighbor policies.
d. reductions in trade barriers via multilateral negotiations.

ANSWER: d

FEEDBACK:
a.
b.
c.
d. The General Agreement on Tariffs and Trade and its successor, the World Trade Organization, have resulted in reductions in trade barriers. Negotiations were conducted on a multilateral basis that involved all GATT members participating in the negotiations.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: General Agreement on Tariffs and Trade
KEYWORDS: BLOOM'S: Remember

10. For the United States, which organization makes loans to foreign buyers of U.S. manufactured goods?
a. Export-Import Bank
b. Domestic International Sales Corporation
c. Organization for Economic Cooperation and Development
d. Commodity Credit Corporation

ANSWER: a

FEEDBACK:
a. The Export-Import Bank is the official export credit agency of the U.S. government. Its purpose is to provide cheap credit for foreign customers who purchase American-made products.
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Industrial Policies of the United States
KEYWORDS: BLOOM'S: Remember

11. The high point of U.S. protection culminated with the passage of the
a. Smoot-Hawley Act of 1930.
b. General Agreements on Tariffs and Trade in 1947.
c. Trade Reduction Act of 1962.

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d. Adjustment Assistance Act of 1970.

ANSWER: a

FEEDBACK:

a. The high point of U.S. protectionism occurred with the passage of the Smoot-Hawley Act in 1930, under which U.S. average tariffs were raised to 53 percent on protected imports.

b.

c.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Smoot-Hawley Act
KEYWORDS: BLOOM'S: Understand

12. Countervailing duties are intended to neutralize any unfair advantage that foreign exporters might gain over domestic producers because of foreign

a. tariffs.

b. subsidies.

c. quotas.

d. buy-national policies.

ANSWER: b

FEEDBACK:

a.

b. Countervailing duties are intended to offset any unfair competitive advantage that foreign producers might gain over domestic producers because of foreign subsidies.

c.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Countervailing Duties: Protection Against Foreign Export Subsidies
KEYWORDS: BLOOM'S: Remember

13. Trade theory suggests that the United States would gain from a subsidy provided by Japan to its calculator producers if the gains to American consumers of calculators more than offset the losses to American calculator producers. This occurs as long as the United States

a. is a net importer of calculators.

b. is a net exporter of calculators.

c. has an absolute advantage in calculator production.

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d. has a comparative advantage in calculator production.

ANSWER: a

FEEDBACK:

a. Economic theory suggests that if a nation is a net importer of a product subsidized or dumped by foreigners, then the nation as a whole gains from the foreign subsidy or dumping. This is because the gains to domestic consumers of the subsidized or dumped good more than offset the losses to domestic producers of the import-competing goods.

b.

c.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Antidumping Duties: Protection Against Foreign Dumping
KEYWORDS: BLOOM'S: Analyze

14. Under the original provisions of the Reciprocal Trade Agreements Act, the president of the United States was authorized to cut tariffs up to

a. 10 percent.
b. 50 percent.
c. 75 percent.
d. 100 percent.

ANSWER: b

FEEDBACK:

a.

b. The Reciprocal Trade Agreements Act changed U.S. trade policies by transferring authority from the Congress to the president. Without congressional approval, the president could lower tariffs by up to 50 percent of the existing level.

c.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Reciprocal Trade Agreements Act
KEYWORDS: BLOOM'S: Remember

15. The U.S. trade-remedy laws could establish all of the following, except

a. import tariffs to protect U.S. firms seriously injured by foreign competition.
b. countervailing duties that neutralize foreign export subsidies.

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c. antidumping duties that protect U.S. firms from imports sold at less than fair value.

d. economic sanctions levied against hostile nations.

ANSWER: d

FEEDBACK:

a.

b.

c.

d. Trade-remedy laws can help protect domestic firms from stiff foreign competition. These laws include the escape clause, provisions for antidumping and countervailing duties, and Section 301 of the 1974 Trade Act, which addresses unfair trading practices of foreign nations.

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: Multiple Choice

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Safeguards (The Escape Clause): Emergency Protection from Imports

KEYWORDS: BLOOM'S: Remember

16. The principle of normal trade relations (most-favored-nation) treatment was established with the passage of the

a. Fordney-McCumber Act of 1922.

b. Smoot-Hawley Act of 1930.

c. Reciprocal Trade Agreements Act of 1934.

d. Trade Act of 1974.

ANSWER: c

FEEDBACK:

a.

b.

c. The Reciprocal Trade Agreements Act provided generalized tariff reductions through the most-favored-nation (MFN) clause. This clause means that countries cannot discriminate between their trading partners participating in a trade agreement.

d.

POINTS: 1

DIFFICULTY: Easy

QUESTION TYPE: Multiple Choice

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Reciprocal Trade Agreements Act

KEYWORDS: BLOOM'S: Remember

17. _____ attempt to produce a fair and free-trading environment in which there exists a level playing field.

a. Trade-remedy laws

b. Industrial policies

c. Strategic trade policies

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d. Economic sanctions

ANSWER: a

FEEDBACK:

a. Trade-remedy laws can help protect domestic firms from stiff foreign competition. These laws include the escape clause, provisions for antidumping and countervailing duties, and Section 301 of the 1974 Trade Act, which addresses unfair trading practices of foreign nations.

b.

c.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Safeguards (The Escape Clause): Emergency Protection from Imports
KEYWORDS: BLOOM'S: Remember

18. Suppose the United States imposes trade sanctions (export quotas) on grain sold to the Russians. Assuming other nations do NOT increase grain exports to the Russians, all of the following would occur, except

a. grain prices would rise in Russia.

b. consumer surplus would decrease for the Russians.

c. grain prices would rise in the United States.

d. export revenues would decrease for U.S. producers.

ANSWER: c

FEEDBACK:

a.

b.

c. Economic sanctions placed against a target country have the effect of forcing it to operate inside its production possibilities curve. Sanctions would not affect grain prices in the United States.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Sanctions
KEYWORDS: BLOOM'S: Analyze

19. Suppose the president lowers tariffs on radios as the result of negotiations under the trade agreements program. Radio producers in the United States can appeal under the

a. escape clause if rising imports substantially injure the U.S. radio industry.

b. escape clause if rising unemployment occurs even though imports remain unchanged.

c. infant industry clause if rising imports cause unemployment to rise among U.S. radio workers.

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d. infant industry clause if rising imports result in losses for U.S. radio companies.

ANSWER: a

FEEDBACK:

a. The escape clause provides temporary safeguards (relief) to U.S. firms and workers who are substantially injured from surges in imports that are fairly traded. To offset surging imports, the escape clause allows the president to terminate or modify trade concessions granted to foreign nations and to levy trade restrictions.

b.

c.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Safeguards (The Escape Clause): Emergency Protection from Imports
KEYWORDS: BLOOM'S: Apply

20. The Uruguay Round of trade negotiations was primarily concerned with

a. import tariffs.

b. export tariffs.

c. economic sanctions.

d. nontariff trade barriers.

ANSWER: d

FEEDBACK:

a.

b.

c.

d. The Uruguay Round of multilateral trade negotiations went beyond tariff reductions to liberalize various nontariff trade barriers.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: General Agreement on Tariffs and Trade
KEYWORDS: BLOOM'S: Remember

21. The Uruguay Round of trade negotiations lowered

a. trade sanctions levied against South Africa.

b. trade sanctions levied against the Soviet Union.

c. tariffs but not nontariff trade barriers.

d. tariffs as well as nontariff trade barriers.

ANSWER: d

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FEEDBACK:

a.

b.

c.

d. The Uruguay Round achieved cuts in tariffs. Progress was also made in decreasing or eliminating nontariff trade barriers.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: General Agreement on Tariffs and Trade
KEYWORDS: BLOOM'S: Remember

22. In 1990, the United States and its allies imposed trade sanctions on exports/imports to/from Iraq in response to its invasion of Kuwait. The sanctions would induce smaller losses in Iraq's consumer surplus the

a. lesser its initial dependence on foreign products.
b. less elastic Iraq's demand schedule.
c. lesser the available output from alternative suppliers.
d. more inelastic Iraq's supply schedule.

ANSWER: a
FEEDBACK:

a. Economic sanctions placed against a target country have the effect of forcing it to operate inside its production possibilities curve. The sanctions would induce smaller losses in Iraq's consumer surplus the lesser its initial dependence on foreign products.

b.

c.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Sanctions
KEYWORDS: BLOOM'S: Understand

23. In U.S. trade law Section 301, cases involve accusations of

a. international dumping by U.S. companies.
b. full-cost pricing by U.S. companies.
c. unfair trade practices by foreign nations.
d. trade sanctions by foreign nations.

ANSWER: c
FEEDBACK:

a.

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b.

c. Section 301 of the Trade Act of 1974 allows the U.S. government to levy trade restrictions against nations that are practicing unfair competition if trade disagreements cannot be successfully resolved.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Section 301: Protection Against Unfair Trading Practices
KEYWORDS: BLOOM'S: Remember

24. Industrial policies attempt to fulfill all of the following objectives, except
a. improving the infrastructure for an industry.
b. easing transitions for workers in declining industries.
c. supporting troubled industries if the difficulty is temporary.
d. fostering industries that offer long-run comparative disadvantage.

ANSWER: d
FEEDBACK:

a.

b.

c.

d. The United States has implemented industrial policies to enhance the competitiveness of domestic producers. Such policies involve government channeling of resources into specific, targeted industries that the government views as important for future economic growth.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Industrial Policies of the United States
KEYWORDS: BLOOM'S: Remember

25. Countervailing duties may be imposed
a. in response to a foreign export subsidy.
b. in response to a foreign antidumping tariff.
c. to promote exports of domestic companies.
d. to promote imports of domestic consumers.

ANSWER: a
FEEDBACK:

a. Countervailing duties are intended to offset any unfair competitive advantage that foreign producers might gain over domestic producers because of foreign subsidies.

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b.

c.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Countervailing Duties: Protection against Foreign Export Subsidies
KEYWORDS: BLOOM'S: Remember

26. The World Trade Organization provides for all of the following, except
a. usage of the normal-trade-relation (most-favored-nation) clause.
b. assistance in the settlement of trade disagreements.
c. multilateral tariff reductions.
d. bilateral tariff reductions.

ANSWER: d
FEEDBACK:

a.

b.

c.

d. The World Trade Organization (WTO) was created to administer the provisions of multilateral trade agreements, to resolve international trade disagreements, and to meet periodically to consider new trade liberalization agreements.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: World Trade Organization
KEYWORDS: BLOOM'S: Remember

27. In U.S. trade law, which measure permits the levying of restrictions on fairly traded imports that harm or threaten to harm American manufacturers?
a. antidumping duty
b. countervailing duty
c. national security clause
d. escape clause

ANSWER: d
FEEDBACK:

a.

b.

c.

d. The escape clause provides temporary safeguards (relief) to U.S. firms and

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workers who are substantially injured from surges in imports that are fairly traded. To offset surging imports, the escape clause allows the president to terminate or modify trade concessions granted to foreign nations and to levy trade restrictions.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Safeguards (The Escape Clause): Emergency Protection from Imports
KEYWORDS: BLOOM'S: Remember

28. Which international organization stipulates procedures for the settlement of international trade disputes?
a. World Trade Organization
b. World Bank
c. International Monetary Fund
d. Organization of Economic Development

ANSWER: a
FEEDBACK:
a. The World Trade Organization (WTO) embodies the main provisions of GATT and provides a mechanism intended to improve the process of resolving trade disputes among member nations.
b.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: General Agreement on Tariffs and Trade
KEYWORDS: BLOOM'S: Remember

29. The most recent round of multilateral trade negotiations is the
a. Kennedy Round.
b. Tokyo Round.
c. Doha Round.
d. Geneva Round.

ANSWER: c
FEEDBACK:
a.
b.
c. The most recent round of multilateral trade negotiations was the Doha Round that was launched in Doha, Qatar, in 2002.
d.

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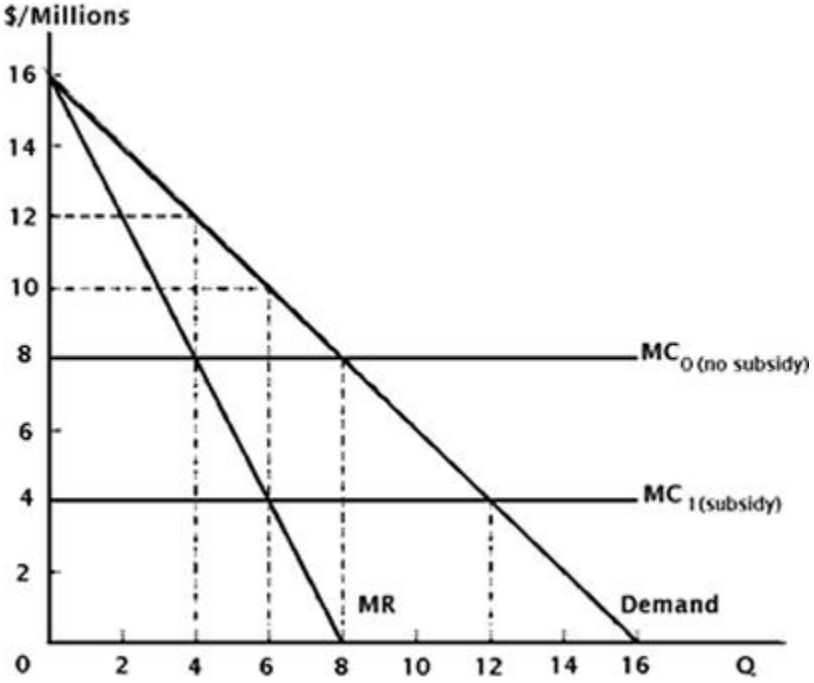
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POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: General Agreement on Tariffs and Trade
KEYWORDS: BLOOM'S: Remember

Assume Boeing Inc. (of the United States) and Airbus Industries (of Europe) rival for monopoly profits in the Canadian aircraft market. Suppose the two firms face identical cost and demand conditions, as shown in Figure 6.1.

Figure 6.1. Strategic Trade Policy: Boeing versus Airbus



30. Referring to Figure 6.1, assume that Boeing is the first to enter the Canadian market. Without a governmental subsidy, the firm maximizes profits by selling _____ aircraft at a price of $_____, and realizes profits totaling $_____.

a. 4, $12 million, $16 million
b. 4, $16 million, $12 million
c. 8, $12 million, $16 million
d. 8, $16 million, $12 million

ANSWER: a
FEEDBACK:
a. Without a governmental subsidy, the firm maximizes profits by selling 4 aircraft at a price of $12 million, and realizes profits totaling $16 million.
b.
c.
d.
POINTS: 1

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DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Strategic Trade Policy
KEYWORDS: BLOOM'S: Analyze

31. Consider Figure 6.1. At the monopoly price as established by Boeing, Canadian consumers realize $_____ of consumer surplus from the availability of aircraft.

a. $4 million
b. $8 million
c. $12 million
d. $16 million

ANSWER: b
FEEDBACK:
a.
b. At the monopoly price as established by Boeing, Canadian consumers realize $8 million of consumer surplus from the availability of aircraft.
c.
d.
POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Strategic Trade Policy
KEYWORDS: BLOOM'S: Analyze

32. Consider Figure 6.1. Suppose the European government provides Airbus a subsidy of $4 million on each aircraft manufactured and that the subsidy convinces Boeing to exit the Canadian market. As the monopoly seller, Airbus maximizes profit by selling _____ aircraft at a price of $_____, and realizes profits totaling $_____.

a. 6, $10 million, $36 million
b. 6, $12 million, $24 million
c. 12, $10 million, $36 million
d. 12, $12 million, $24 million

ANSWER: a
FEEDBACK:
a. As the monopoly seller, Airbus maximizes profit by selling 6 aircraft at a price of $10 million, and realizes profits totaling $36 million.

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b.

c.

d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Strategic Trade Policy
KEYWORDS: BLOOM'S: Analyze

33. Referring to Figure 6.1, the total cost of the Airbus subsidy to the European taxpayer equals

a. $16 million.
b. $20 million.
c. $24 million.
d. $28 million.

ANSWER: c
FEEDBACK:

a.

b.

c. The total cost of the Airbus subsidy to the European taxpayer equals $24 million.

d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Strategic Trade Policy
KEYWORDS: BLOOM'S: Analyze

34. Referring to Figure 6.1, the Airbus subsidy leads to a (an) increase/decrease in Canadian consumer surplus of $_____, as compared to the consumer surplus that existed in the absence of a subsidy.

a. increase of $8 million
b. increase of $10 million
c. decrease of $8 million
d. decrease of $10 million

ANSWER: b
FEEDBACK:

a.

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b. The Airbus subsidy leads to an increase in Canadian consumer surplus of $$10 million, as compared to the consumer surplus that existed in the absence of a subsidy.

c.

d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Strategic Trade Policy
KEYWORDS: BLOOM'S: Analyze

35. Consider Figure 6.1. For Europe as a whole (Airbus and European taxpayers), the subsidy leads to a (an) _____ in net revenues of $_____.

a. increase, $12 million
b. increase, $16 million
c. decrease, $12 million
d. decrease, $16 million

ANSWER: a
FEEDBACK:

a. For Europe as a whole (Airbus and European taxpayers), the subsidy leads to an increase in net revenues of $12 million.

b.

c.

d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Strategic Trade Policy
KEYWORDS: BLOOM'S: Analyze

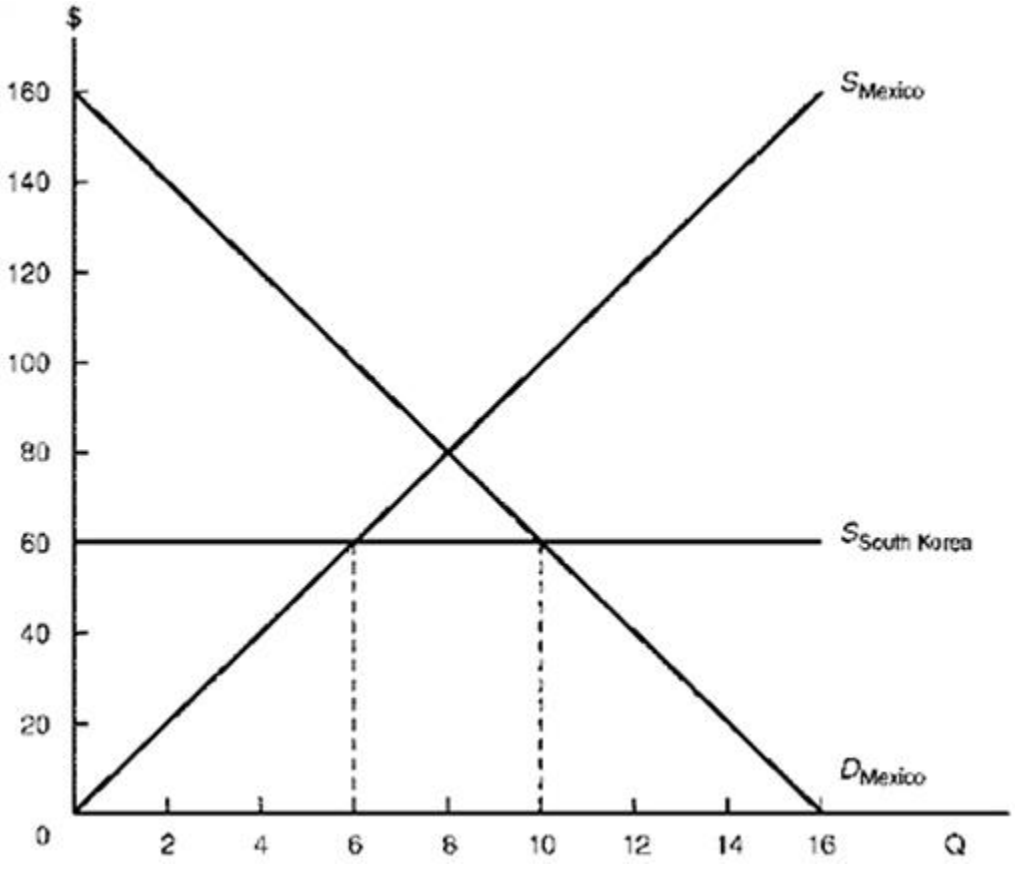
Figure 6.2 illustrates the calculator market for Mexico, assumed to be a small nation that is unable to influence the South Korean (world) price. Assume the South Korean price to be $60 per calculator.

Figure 6.2. Effects of an Export Subsidy

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36. Consider Figure 6.2. With free trade, Mexican consumers purchase _____ calculators, Mexican firms produce _____ calculators, and _____ calculators are imported.

a. 10, 4, 6
b. 10, 6, 4
c. 10, 8, 2
d. 10, 2, 8

ANSWER: b

FEEDBACK:

a.
b. With free trade, Mexican consumers purchase 10 calculators, Mexican firms produce 6 calculators, and 4 calculators are imported.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.2
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Antidumping Duties: Protection Against Foreign Dumping
KEYWORDS: BLOOM'S: Analyze

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37. Consider Figure 6.2. With free trade, Mexicans attain $_____ of consumer surplus from the availability of calculators, while Mexican producer surplus equals $_____.

a. $400, $200
b. $200, $400
c. $500, $180
d. $500, $240

ANSWER: c

FEEDBACK:

a.
b.
c. With free trade, Mexicans attain $500 of consumer surplus from the availability of calculators, while Mexican producer surplus equals $180.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.2
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Antidumping Duties: Protection Against Foreign Dumping
KEYWORDS: BLOOM'S: Analyze

38. Consider Figure 6.2. To help its firms further penetrate export markets, suppose the South Korean government provides them a production subsidy of $20 per calculator. With the subsidy, South Korean firms charge a price of $_____ and export _____ calculators to Mexico.

a. $40, 8
b. $40, 10
c. $20, 8
d. $20, 10

ANSWER: a

FEEDBACK:

a. With the subsidy, South Korean firms charge a price of $40 and export 8 calculators to Mexico.
b.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.2
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Antidumping Duties: Protection Against Foreign Dumping

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KEYWORDS: BLOOM'S: Analyze

39. Consider Figure 6.2. The South Korean subsidy _____ Mexican manufacturers, since their producer surplus _____ by $_____.

a. helps, rises, $60
b. helps, rises, $100
c. hurts, falls, $60
d. hurts, falls, $100

ANSWER: d

FEEDBACK:

a.
b.
c.
d. The South Korean subsidy hurts Mexican manufacturers because their producer surplus falls by $100.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.2
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Antidumping Duties: Protection Against Foreign Dumping
KEYWORDS: BLOOM'S: Analyze

40. Consider Figure 6.2. For Mexico's producers and consumers as a whole, the South Korean subsidy leads to a(n)

a. $120 welfare gain.
b. $320 welfare gain.
c. $120 welfare loss.
d. $320 welfare loss.

ANSWER: a

FEEDBACK:

a. For Mexico's producers and consumers as a whole, the South Korean subsidy leads to a $120 welfare gain.
b.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.2
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Antidumping Duties: Protection Against Foreign Dumping

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KEYWORDS: BLOOM'S: Analyze

41. Consider Figure 6.2. As a result of the South Korean subsidy, Mexicans find their consumer surplus
    a. rising by $160.
    b. rising by $220.
    c. falling by $160.
    d. falling by $220.

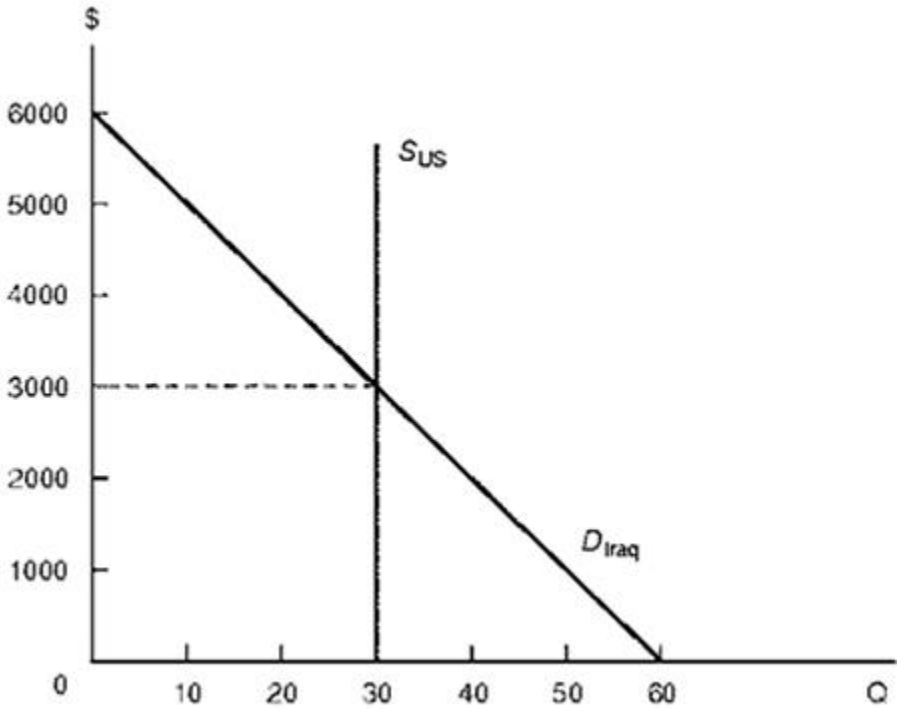
ANSWER: b

FEEDBACK:
    a.
    b. As a result of the South Korean subsidy, Mexicans find their consumer surplus rising by $220.
    c.
    d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.2
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Antidumping Duties: Protection Against Foreign Dumping
KEYWORDS: BLOOM'S: Analyze

Figure 6.3 represents the Iraqi computer market. Assume Iraq purchases all of its computers from the United States.

Figure 6.3 Iraqi Computer Market and Economic Sanctions



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42. Consider Figure 6.3. With free trade, Iraq purchases _____ computers at a price of $_____ and realizes $_____ of consumer surplus from the availability of computers.

a. 30, $3,000, $25,000
b. 30, $3,000, $35,000
c. 30, $3,000, $45,000
d. 30, $3,000, $55,000

ANSWER: c

FEEDBACK:

a.
b.
c. With free trade, Iraq purchases 30 computers at a price of $3,000 and realizes $45,000 of consumer surplus from the availability of computers.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.3
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Antidumping Duties: Protection against Foreign Dumping
KEYWORDS: BLOOM'S: Analyze

43. Consider Figure 6.3. In response to Iraq's armed invasion of neighboring countries, suppose the United States imposes a partial embargo that limits exports to Iraq to 10 computers. The export quota leads to a(n) _____ in the price of computers equal to $_____ and a(n) _____ in consumer surplus equal to $_____.

a. increase, $2,000, decrease, $40,000
b. increase, $4,000, decrease, $60,000
c. decrease, $2,000, increase, $40,000
d. decrease, $4,000, increase, $60,000

ANSWER: a

FEEDBACK:

a. The export quota leads to an increase in the price of computers equal to $2,000 and a decrease in consumer surplus equal to $40,000.
b.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.3
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Economic Sanctions
KEYWORDS: BLOOM'S: Analyze

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44. Consider Figure 6.3. Of the quota-induced change in Iraqi consumer surplus, $_____ is NOT transferred to other sectors of Iraq's economy and represents deadweight loss.

a. $5,000
b. $10,000
c. $15,000
d. $20,000

ANSWER: d

FEEDBACK:

a.
b.
c.
d. Of the quota-induced change in Iraqi consumer surplus, $20,000 is not transferred to other sectors of Iraq's economy and represents deadweight loss.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.3
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Economic Sanctions
KEYWORDS: BLOOM'S: Analyze

45. Consider Figure 6.3. Of the quota-induced change in Iraqi consumer surplus, the amount of the change in Iraq's consumer surplus that is transferred to other sectors of Iraq's economy is captured by the United States as

a. tax revenue.
b. export revenue.
c. producer surplus.
d. consumer surplus.

ANSWER: b

FEEDBACK:

a.
b. The amount of the change in Iraq's consumer surplus that is transferred to other sectors of Iraq's economy is captured by the United States as export revenue.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.3
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Economic Sanctions

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KEYWORDS: BLOOM'S: Analyze

46. Consider Figure 6.3. For the United States, the export quota results in a (an)
a. improvement in its terms of trade with Iraq.
b. increase in its export revenue.
c. increase in domestic computer prices.
d. decrease in domestic consumer surplus.

ANSWER: a

FEEDBACK:
a. For the United States, the export quota results in an improvement in its terms of trade with Iraq.
b.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.3
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Economic Sanctions
KEYWORDS: BLOOM'S: Analyze

47. The implicit industrial policies of the U.S. government have included
a. formulating industry-specific economic policies designed to promote national champions.
b. nationalizing basic industries such as steel and autos.
c. encouraging cartelization of aircraft and aluminum manufacturers.
d. providing support for industries such as energy and defense.

ANSWER: d

FEEDBACK:
a.
b.
c.
d. The U.S. government has provided support for the shipping, aerospace, shipbuilding, energy, and defense industries, primarily on the grounds of national security.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Industrial Policies of the United States
KEYWORDS: BLOOM'S: Remember

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48. Economic sanctions are most effective in causing the target nation to modify its behavior when the
a. target nation had negligible economic relationships with the imposing nation prior to the sanctions.
b. people of the target nation have weak cultural ties to the people of the imposing nation.
c. sanctions are levied by a large number of nations.
d. target government is supported by the majority of its people.

ANSWER: c

FEEDBACK:
a.
b.
c. Among the most important determinants of the success of economic sanctions are (1) the number of nations imposing sanctions, (2) the degree to which the target nation has economic and political ties to the imposing nation(s), (3) the extent of political opposition in the target nation, and (4) cultural factors in the target nation.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Economic Sanctions
KEYWORDS: BLOOM'S: Understand

49. In 1995, the _____ was established to administer the new global trade rules agreed in the Uruguay Round of multilateral trade negotiations.
a. World Trade Organization
b. Organization for Economic Cooperation and Development
c. General Agreement on Tariffs and Trade (GATT)
d. United Nations

ANSWER: a

FEEDBACK:
a. In 1995, GATT was transformed into the World Trade Organization (WTO), which was established to administer the new global trade rules agreed upon in the Uruguay Round of multilateral trade negotiations.
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: World Trade Organization
KEYWORDS: BLOOM'S: Remember

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50. In 1995, the General Agreement on Tariffs and Trade (GATT) was replaced by the _____.
    a. Agency for International Development
    b. Organization for Economic Cooperation and Development
    c. United Nations Center for Trade and Development
    d. World Trade Organization

ANSWER: d
FEEDBACK:
    a.
    b.
    c.
    d. In 1995, GATT was transformed into the World Trade Organization (WTO).
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: General Agreement on Tariffs and Trade
KEYWORDS: BLOOM'S: Remember

51. Which is NOT a factor influencing the success of sanctions?
    a. cultural factors, including nationalistic attitudes
    b. degree to which the target nation has economic ties to the imposing nation
    c. the number of nations imposing sanctions
    d. lack of political opposition in the target nation

ANSWER: d
FEEDBACK:
    a.
    b.
    c.
    d. Among the most important determinants of the success of economic sanctions are (1) the number of nations imposing sanctions, (2) the degree to which the target nation has economic and political ties to the imposing nation(s), (3) the extent of political opposition in the target nation, and (4) cultural factors in the target nation.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Sanctions
KEYWORDS: BLOOM'S: Understand

52. Industrial policies
    a. require formal explicit efforts by governments.

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b. will not be implicit.
c. have never been used by the U.S. government.
d. should be approved by the World Trade Organization.

ANSWER: a

FEEDBACK:
a. Industrial policies involve government channeling of resources into specific, targeted industries that the government views as important for future economic growth.
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Industrial Policies of the United States
KEYWORDS: BLOOM'S: Understand

53. Trade adjustment assistance policies
a. can resolve all workers' challenges to free trade.
b. attempt to share gains from free trade with disadvantaged workers.
c. have never been used to sustain a losing business concern.
d. are financed by state and local tax revenues.

ANSWER: b

FEEDBACK:
a.
b. One way to balance gains of free trade realized broadly throughout the economy, with costs usually more concentrated, is to address the needs of firms and workers that have been adversely affected. Trade adjustment assistance policies attempt to share gains from free trade with disadvantaged workers.
c.
d.

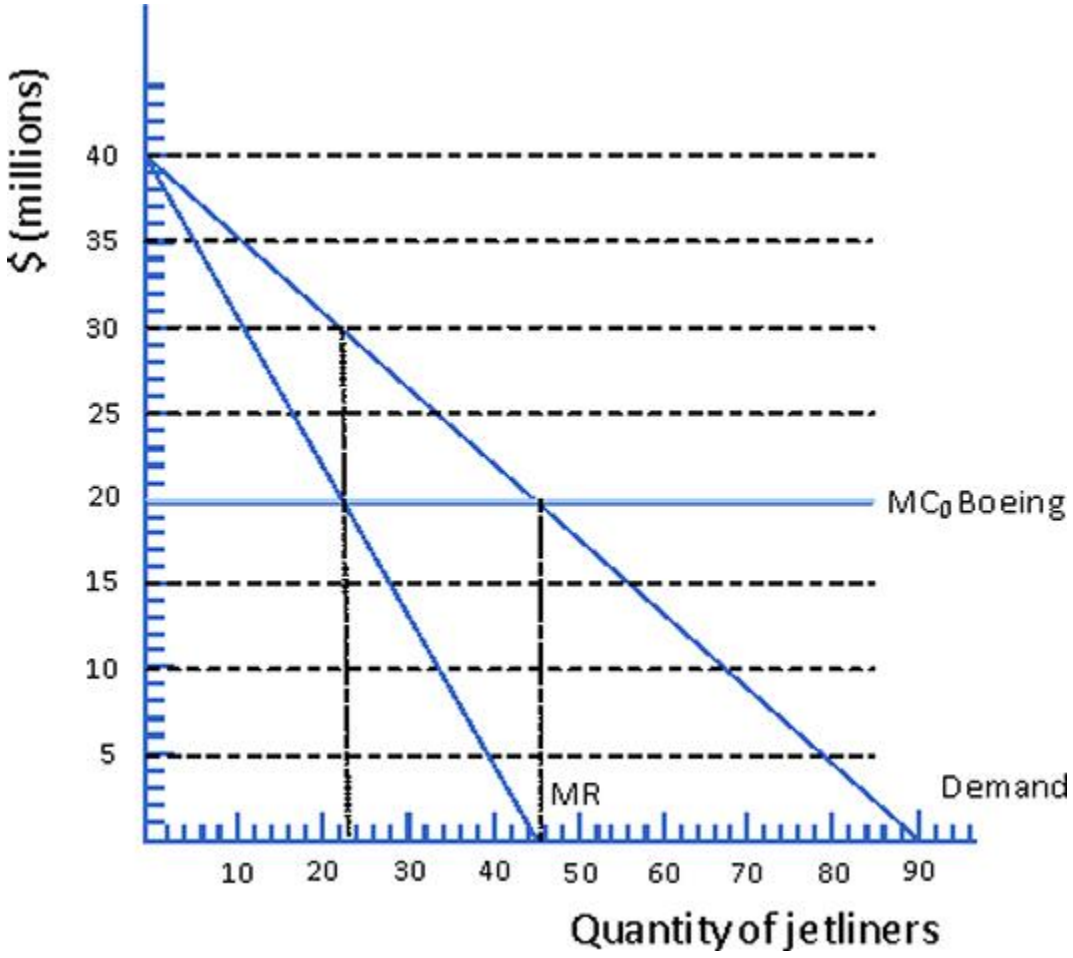
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Adjustment Assistance
KEYWORDS: BLOOM'S: Remember

Figure 6.4 *Japanese Market for Jetliners*

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54. Consider the Japanese market for jetliners as depicted in Figure 6.4. Suppose the lone producer of jetliners in the world is Boeing, which faces a constant marginal cost of $20 million per jetliner. What price will Boeing charge for jetliners in the Japanese market, and how many will they sell?

a. $20 million, 23
b. $20 million, 46
c. $30 million, 46
d. $30 million, 23

ANSWER: d

FEEDBACK:

a.
b.
c.
d. Boeing will charge $30 million for jetliners in the Japanese market, and will sell 23 jetliners.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.4
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs

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TOPICS: Strategic Trade Policy
KEYWORDS: BLOOM'S: Analyze

55. Consider the Japanese market for jetliners as depicted in Figure 6.4. Suppose the lone producer of jetliners in the world is Boeing, which faces a constant marginal cost of $20 million per jetliner. How much profit will Boeing make?

a. 0
b. $150 million
c. $230 million
d. $250 million

ANSWER: c
FEEDBACK:
a.
b.
c. Boeing will make a profit of $230 million.
d.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.4
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Strategic Trade Policy
KEYWORDS: BLOOM'S: Analyze

56. Consider the Japanese market for jetliners as depicted in Figure 6.4. Suppose the lone producer of jetliners in the world is Boeing, which faces a constant marginal cost of $20 million per jetliner. How much consumer surplus will the Japanese airlines that purchase the jetliners earn from their transactions with Boeing?

a. 0
b. $115 million
c. $230 million
d. $250 million

ANSWER: b
FEEDBACK:
a.
b. The consumer surplus is $115 million.
c.
d.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.4
NATIONAL STANDARDS: United States - BUSPROG: - Analytic

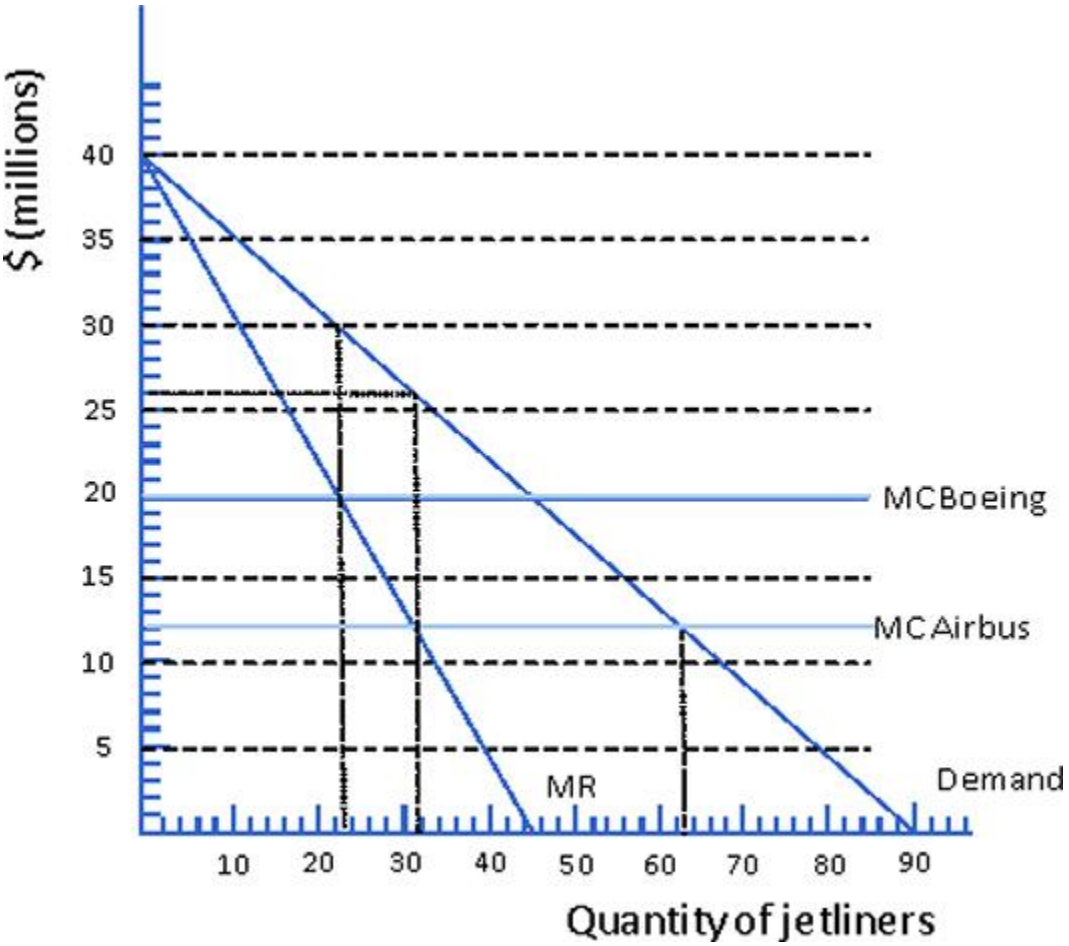
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United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Strategic Trade Policy
KEYWORDS: BLOOM'S: Analyze

Figure 6.5 *Japanese Market for Jetliners*



57. Consider the Japanese market for jetliners as depicted in Figure 6.5. Suppose the lone producer of jetliners in the world is Boeing, which faces a constant marginal cost of $20 million per jetliner, but now a European manufacturer, Airbus, begins production. Airbus faces the same marginal cost as Boeing, but the European government provides Airbus a subsidy of $8 million per jetliner produced. As a result of the competition, Boeing exits the Japanese market, leaving Airbus as a monopoly. How many jetliners will Airbus produce, and at what price will they sell them?

a. 23, $30 million
b. 32, $26 million
c. 23, $26 million
d. 32, $30 million

ANSWER: b
FEEDBACK:
a.
b. Airbus will produce 32 jetliners and sell them at a price of $26 million.
c.
d.
POINTS: 1

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DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.5
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Strategic Trade Policy
KEYWORDS: BLOOM'S: Analyze

58. Consider the Japanese market for jetliners as depicted in Figure 6.5. Suppose the lone producer of jetliners in the world is Boeing, which faces a constant marginal cost of $20 million per jetliner, but now a European manufacturer, Airbus, begins production. Airbus faces the same marginal cost as Boeing, but the European government provides Airbus a subsidy of $8 million per jetliner produced. As a result of the competition, Boeing exits the Japanese market leaving Airbus as a monopoly. How much profit will Airbus earn?

a. $230 million
b. $350 million
c. $416 million
d. $450 million

ANSWER: c
FEEDBACK:
a.
b.
c. Airbus will earn a profit of $416 million.
d.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.5
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Strategic Trade Policy
KEYWORDS: BLOOM'S: Analyze

59. Consider the Japanese market for jetliners as depicted in Figure 6.5. Suppose the lone producer of jetliners in the world is Boeing, which faces a constant marginal cost of $20 million per jetliner, but now a European manufacturer, Airbus, begins production. Airbus faces the same marginal cost as Boeing, but the European government provides Airbus a subsidy of $8 million per jetliner produced. As a result of the competition, Boeing exits the Japanese market, leaving Airbus as a monopoly. As a result of the entry of the subsidized producer, what will happen to the consumer surplus gained by Japanese airlines from buying jetliners?

a. decrease by $109 million
b. nothing
c. increase by $50 million
d. increase by $109 million

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ANSWER: c
FEEDBACK:
a.
b.
c. The consumer surplus gained by Japanese airlines from buying jetliners is an increase of $50 million.
d.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 6.5
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Strategic Trade Policy
KEYWORDS: BLOOM'S: Analyze

60. The purpose of the countervailing duty is to
a. increase the price of the imported good.
b. decrease the price of the imported good.
c. increase the price of the exported good.
d. decrease the price of the exported good.
ANSWER: a
FEEDBACK:
a. Countervailing duties are intended to offset any unfair competitive advantage that foreign producers might gain over domestic producers because of foreign subsidies. The tariff would increase the price of the imported good.
b.
c.
d.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Countervailing Duties: Protection against Foreign Export Subsidies
KEYWORDS: BLOOM'S: Remember

61. Which can be categorized as illegal subsidy?
a. approving loans at predetermined interest rates
b. paying nominal wages to workers
c. providing discounts to electricity when energy is the largest expense
d. collecting rent as appropriate
ANSWER: c
FEEDBACK:
a.

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b.

c. Providing discounts to electricity when energy is the largest expense can be categorized as illegal subsidy.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Countervailing Duties: Protection against Foreign Export Subsidies
KEYWORDS: BLOOM'S: Analyze

62. Assume that an import subsidy gives a foreign producer an undue advantage. As an import-competing producer, what would you do?

a. petition the U.S. Department of Commerce
b. petition the U.S. International Trade Commission
c. petition the WTO
d. discuss the issue with the foreign producer

ANSWER: a
FEEDBACK:

a. An import-competing producer would petition the U.S. Department of Commerce.

b.

c.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Countervailing Duties: Protection against Foreign Export Subsidies
KEYWORDS: BLOOM'S: Apply

63. Compared with other displaced workers, _____ workers tend to face _____ adjustment costs as they must endure longer _____ spells and larger wage losses once reemployed.

a. trade-displaced, higher, unemployment
b. unemployed, higher, nonproductive
c. trade-displaced, lower, unemployment
d. unemployed, lower, nonproductive

ANSWER: a
FEEDBACK:

a. Compared with other displaced workers, trade-displaced workers tend to face higher adjustment costs as they must endure longer unemployment spells and larger wage losses once reemployed.

b.

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c.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Adjustment Assistance
KEYWORDS: BLOOM'S: Remember

64. John, aged 55 years, has lost his job as a maintenance mechanic in a company he had worked at for 10 years. The company has now shifted overseas. He has since joined another concern where he is being paid $30,000, compared to the $39,000 he was earning previously. Is he eligible for wage insurance? If no, why? If yes, how much would he get?

a. People above 60 years of age only can claim wage insurance.

b. Yes, people above 50 can claim wage insurance. He will get $4,500.

c. People above 55 years of age only can claim wage insurance.

d. Yes, people 55 years and above can claim wage insurance. He will get $5,500.

ANSWER: b
RATIONALE: Wage insurance is available to workers age 50 and older and who obtain reemployment at a lower wage. The wage-insurance program provides a cash payment equal to 50 percent of the difference between the worker's new wage and previous wage up to a two-year maximum of $10,000.

The wage difference is $9,000 ($39,000 -$30,000), insurance is 50% x $9,000 = $4,500.
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Adjustment Assistance
KEYWORDS: BLOOM'S: Apply

65. Julia lost her job because of foreign competition. She has now trained in nursing and is working in a hospital. Which benefit of the U.S. government helped her make this adjustment?

a. wage insurance

b. weekly income support

c. reimbursement of relocation costs

d. assistance in preparing for and obtaining new employment

ANSWER: d
FEEDBACK:

a.

b.

c.

d. The benefit she will receive is assistance in preparing for and obtaining new

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employment, such as support for workers developing skills for a new occupation.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Adjustment Assistance
KEYWORDS: BLOOM'S: Analyze

66. Which of the following is NOT true about economic sanctions?
a. They protect domestic economy.
b. They increase nuclear proliferation.
c. They combat international terrorism.
d. They protect human rights.

ANSWER: b
FEEDBACK:
a.
b. Economic sanctions consist of trade and financial restraints imposed on foreign nations. They have been used to preserve national security, protect human rights, and combat international terrorism.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Sanctions
KEYWORDS: BLOOM'S: Remember

67. _____ generally result(s) in greater economic pressure on the target nation.
a. Unilateral sanctions
b. Multilateral sanctions
c. International ostracism
d. Financial sanctions

ANSWER: b
FEEDBACK:
a.
b. Economic sanctions consist of trade and financial restraints imposed on foreign nations. Multilateral sanctions generally result(s) in greater economic pressure on the target nation.
c.
d.

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POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Sanctions
KEYWORDS: BLOOM'S: Remember

68. Which is the main reason for sanctions NOT being able to pressure North Korea into changing its behavior?
a. North Korea's trade and financial relations with the rest of the world are limited.
b. China has refrained from implementing substantial sanctions against its neighbor.
c. The tension that prevails between the United States and North Korea.
d. It sees nuclear weapons as the only way to survive its repressive regime.

ANSWER: a
FEEDBACK:
a. One reason why sanctions have not pressured North Korea into changing its behavior is because North Korea's trade and financial relations with the rest of the world are limited. These modest relations restrict the scope of sanctions and their leverage on North Korea.
b.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Sanctions
KEYWORDS: BLOOM'S: Remember

69. Which is NOT a sanction placed against North Korea?
a. cap on the amount of oil that can be purchased
b. restrict trade only to textiles and coal
c. ban on entry of North Koreans into other countries
d. ban on financial institutions doing business with North Korea

ANSWER: b
FEEDBACK:
a.
b. UN sanctions against banned trade in textiles and coal along with other commodities such as natural gas, iron ore, gold, and rare earth minerals. Caps were also placed on the amount of oil that North Korea could purchase, thus decreasing oil imports by North Korea by 30 percent. They also barred countries from employing North Korean laborers except when deemed for vital humanitarian reasons. In addition, the United States expanded sanctions to hit any individuals, companies, and financial institutions doing business with North Korea.

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c.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Sanctions
KEYWORDS: BLOOM'S: Remember

70. The first tariff in the United States (1789) was intended mainly
a. to raise revenue for the U.S. government.
b. to protect American farmers from foreign competition.
c. to protect American manufacturers from foreign competition.
d. to offset unfair trading practices of European nations.

ANSWER: a
FEEDBACK:
a. The revenue objective was the main reason Congress passed the first tariff law in 1789.
b.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC10: - The role of government
TOPICS: U.S. Tariff Policies before 1930
KEYWORDS: BLOOM'S: Remember

71. During the 1780s-1790s, the largest source of revenue for the U.S. government came from
a. the personal income tax.
b. the corporate income tax.
c. the social security tax.
d. import tariffs.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. Tariffs were the largest source of federal revenue throughout the late 1700s and 1800s, accounting for more than 90 percent of federal revenue.

POINTS: 1
DIFFICULTY: Easy

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QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: U.S. Tariff Policies before 1930
KEYWORDS: BLOOM'S: Remember

72. In 1791, Alexander Hamilton presented to Congress his famous "Report on Manufacturers," which proposed that young industries of the United States be granted import protection. Hamilton was using the _____ to justify protection

a. revenue argument
b. scientific tariff argument
c. infant industry argument
d. cheap foreign labor argument

ANSWER: c
FEEDBACK:
a.
b.
c. In 1791, Alexander Hamilton presented to Congress his famous “Report on Manufacturers,” which proposed that the young industries of the United States be granted import protection until they could grow and prosper—the infant industry argument.
d.
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: U.S. Tariff Policies before 1930
KEYWORDS: BLOOM'S: Remember

73. For the United States in the early 1800s,

a. Northern manufacturers favored high tariffs while Southern farmers opposed them.
b. Southern farmers favored high tariffs while northern manufacturers opposed them.
c. high tariffs were favored by Northern manufacturers and Southern farmers.
d. low tariffs were favored by Northern manufacturers and Southern farmers.

ANSWER: a
FEEDBACK:
a. For the United States, in the early 1800s, Northern manufacturers favored high tariffs. Intense political opposition to higher tariffs came from Southerners, who had almost no manufacturing industry and imported many products with high tariffs.
b.
c.
d.
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice

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HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: U.S. Tariff Policies before 1930
KEYWORDS: BLOOM'S: Remember

74. The Smoot-Hawley Tariff Act of 1930
a. decreased U.S. tariffs to the lowest level since the early 1800s.
b. decreased U.S. tariffs to the lowest level since the late 1800s.
c. increased U.S. tariffs to an average of 53 percent on protected imports.
d. resulted in foreign nations increasing their tariffs on U.S. export.

ANSWER: c
FEEDBACK:
a.
b.
c. The Smoot–Hawley Act of 1930 raised U.S. tariffs to an all-time high, 53 percent on protected imports.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Smoot–Hawley Act
KEYWORDS: BLOOM'S: Remember

75. Concerning the tariff policy of the United States, the country imposes
a. identical tariff rates on products from all countries.
b. lower tariff rates on products from countries with most-favored-nation (MFN) status.
c. higher tariff rates on products from countries with most-favored-nation status.
d. zero tariff rates on products from all developing countries.

ANSWER: b
RATIONALE: The Reciprocal Trade Agreements Act provided generalized tariff reductions through the most-favored-nation clause. This clause means that the country imposes lower tariff rates on products from countries with MFN status.

In 1998, the U.S. government replaced most-favored-nation (MFN) status with normal trade relations.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Reciprocal Trade Agreements Act
KEYWORDS: BLOOM'S: Understand

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76. Soon after the United States implemented the Smoot-Hawley Tariff Act of 1930,
a. the volume of international trade dramatically increased.
b. employment in the United States rapidly increased.
c. about 25 countries levied import tariffs on U.S. products.
d. the world returned to a policy of free trade.

ANSWER: c
FEEDBACK:
a.
b.
c. The Smoot-Hawley Tariff Act of 1930 provoked retaliation by 25 trading partners of the United States.
d.
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Smoot–Hawley Act
KEYWORDS: BLOOM'S: Remember

77. The Reciprocal Trade Agreements Act of 1934 authorized
a. the president to negotiate bilateral trade agreements with other nations.
b. Congress to negotiate bilateral trade agreements with other nations.
c. the president to increase tariffs without the approval of Congress.
d. Congress to increase tariffs without the approval of the president.

ANSWER: a
FEEDBACK:
a. Under the Reciprocal Trade Agreements Act, the president was given the authority to negotiate bilateral tariff reduction agreements with particular foreign governments.
b.
c.
d.
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Reciprocal Trade Agreements Act
KEYWORDS: BLOOM'S: Remember

78. The Reciprocal Trade Agreements Act of 1934 allowed the president to lower tariffs by up to _____ of the existing level, subject to a tariff reduction by our trading partner.
a. 15 percent
b. 35 percent
c. 50 percent

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d. 75 percent

ANSWER: c

FEEDBACK:

a.

b.

c. Without congressional approval, the president could lower tariffs by up to 50 percent of the existing level.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Reciprocal Trade Agreements Act
KEYWORDS: BLOOM'S: Remember

79. The result of normal trade relations (the most-favored-nation clause) is

a. a discriminatory tariff structure.

b. a nondiscriminatory tariff structure.

c. an increase of all tariff rates between all nations.

d. an elimination of all tariff rates for all nations.

ANSWER: b

FEEDBACK:

a.

b. The Reciprocal Trade Agreements Act provided generalized tariff reductions through the most-favored-nation (MFN) clause. This clause means that countries cannot discriminate between their trading partners participating in a trade agreement.

c.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Reciprocal Trade Agreements Act
KEYWORDS: BLOOM'S: Understand

80. Section 301 of the Trade Act of 1974 emphasized

a. the use of strategic trade policy.

b. the welfare effects of export subsidies.

c. relatively low-wage levels of developing countries.

d. unfair trading practices of American trading partners.

ANSWER: d

FEEDBACK:

a.

b.

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c.

d. Trade-remedy laws can help protect domestic firms from stiff foreign competition. These laws include the escape clause, provisions for antidumping and countervailing duties, and Section 301 of the 1974 Trade Act, which addresses unfair trading practices of foreign nations.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Safeguards (the Escape Clause): Emergency Protection from Imports
KEYWORDS: BLOOM'S: Remember

81. The _____ is an international organization that establishes codes of conduct for international trade.
Bank for International Settlements

a. International Monetary Fund
b. World Bank
c. World Trade Organization (WTO)
d. Bank for International Settlements

ANSWER: c
FEEDBACK:

a.

b.

c. The World Trade Organization is an international organization that establishes codes of conduct for international trade.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: World Trade Organization
KEYWORDS: BLOOM'S: Remember

82. The _____ provides a forum for multinational trade negotiations, intended on reducing barriers to trade.

a. United Nations
b. World Trade Organization (WTO)
c. International Monetary Fund
d. Bank for International Settlements

ANSWER: b
FEEDBACK:

a.

b. The World Trade Organization provides a forum for multinational trade negotiations, intended on reducing barriers to trade, and provides a mechanism intended to improve the process of resolving trade disputes among member nations.

c.

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d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: World Trade Organization
KEYWORDS: BLOOM'S: Remember

83. For the United States, countervailing duty cases consist of allegations of
a. foreign impediments to American exports.
b. dumping by foreign exporting companies.
c. foreign export subsidies.
d. monopoly pricing by foreign importing companies.

ANSWER: c
FEEDBACK:
a.
b.
c. Countervailing duties are intended to offset any unfair competitive advantage that foreign producers might gain over domestic producers because of foreign subsidies.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Countervailing Duties: Protection against Foreign Export Subsidies
KEYWORDS: BLOOM'S: Remember

84. How many nations are members of the World Trade Organization?
a. 90
b. 110
c. 130
d. 164

ANSWER: d
FEEDBACK:
a.
b.
c.
d. In 2020, the WTO consisted of 164 nations, accounting for more than 97 percent of world trade.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice

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HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: World Trade Organization
KEYWORDS: BLOOM'S: Remember

85. The primary objective of the World Trade Organization is to
a. maximize tariff revenue for developing-country governments.
b. promote bilateral trade negotiations among nations.
c. liberalize international trade among member countries.
d. increase the protection of firms and workers against foreign competition.

ANSWER: c
FEEDBACK:
a.
b.
c. The primary objective of the WTO is to liberalize international trade among member countries.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: World Trade Organization
KEYWORDS: BLOOM'S: Remember

86. Some environmentalists in industrial countries fear that the rules of international trade under the World Trade Organization
a. increase the development of renewable energies.
b. improve the water and air quality of member nations.
c. lead to the planting of more trees.
d. erode the environmental standards of member nations.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. Some environmentalists are concerned that there are circumstances in which trade and the pursuit of trade liberalization may have harmful environmental effects.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: World Trade Organization

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KEYWORDS: BLOOM'S: Understand

87. If higher labor standards were implemented as a condition for support of more liberal trade rules of the World Trade Organization, such policies could

a. help labor in advanced countries but harm labor in developing countries.
b. help labor in developing countries but harm labor in advanced countries.
c. help labor in advanced countries and developing countries.
d. harm labor in advanced countries and developing countries.

ANSWER: a

FEEDBACK:

a. If higher labor standards were implemented as a condition for support of more liberal trade rules of the World Trade Organization, such policies could help labor in advanced countries but harm labor in developing countries.
b.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC6: - Labor markets
TOPICS: World Trade Organization
KEYWORDS: BLOOM'S: Understand

88. As a condition for the World Trade Organization's enactment of new policies, developing countries pressure the WTO for

a. more stringent environmental-protection policies in advanced countries.
b. additional expenditures on policies to protect intellectual property.
c. import tariff reductions in advanced countries.
d. domestic content laws in advanced countries.

ANSWER: c

FEEDBACK:

a.
b.
c. As a condition for the World Trade Organization's enactment of new policies, developing countries pressure the WTO for import tariff reductions in advanced countries.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: World Trade Organization
KEYWORDS: BLOOM'S: Understand

89. The World Trade Organization

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a. consists of the World Bank and the International Monetary Fund.
b. is intended to promote bilateral trade negotiations between two countries.
c. attempts to use world trade rules to help resolve trade disputes among member countries.
d. promotes international trade by granting loan guarantees to foreign customers who make purchases on credit.

ANSWER: c
FEEDBACK:
a.
b.
c. The World Trade Organization was created to administer the provisions of multilateral trade agreements, to resolve international trade disagreements, and to meet periodically to consider new trade liberalization agreements.
d.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: World Trade Organization
KEYWORDS: BLOOM'S: Understand

90. The _____ was created to administer the provisions of multilateral trade agreements, to resolve international trade disagreements, and to meet periodically to consider new trade liberalization agreements.
a. North American Free Trade Agreement
b. European Union
c. World Bank
d. World Trade Organization (WTO)

ANSWER: d
FEEDBACK:
a.
b.
c.
d. The World Trade Organization was created to administer the provisions of multilateral trade agreements, to resolve international trade disagreements, and to meet periodically to consider new trade liberalization agreements.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: World Trade Organization
KEYWORDS: BLOOM'S: Understand

91. Who is most likely to support the mission of the World Trade Organization?
a. proponents of protectionist trade barriers such as import quotas
b. proponents of free trade based on comparative advantage
c. extreme environmentalists

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d. those desiring anarchy as the new global order

ANSWER: b

FEEDBACK:

a.

b. Proponents of free trade based on comparative advantage are most likely to support the mission of the World Trade Organization.

c.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: World Trade Organization
KEYWORDS: BLOOM'S: Apply

92. Critics of the World Trade Organization maintain that liberalized trade can result in

a. environmental degradation.

b. higher wages paid to workers.

c. business firms providing labor protections such as workplace safety.

d. win for small countries that do not have much bargaining power.

ANSWER: a

FEEDBACK:

a. Some environmentalists are concerned that there are circumstances in which trade and the pursuit of trade liberalization may have harmful environmental effects.

b.

c.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: World Trade Organization
KEYWORDS: BLOOM'S: Understand

93. The purpose of the U.S. Trade Adjustment Assistance Program is to

a. provide production subsidies to American exporting companies.

b. protect American jobs and wages by imposing import tariffs and quotas.

c. provide benefits to American workers who are dislocated because of international trade.

d. provide price supports for American farmers harmed by international trade.

ANSWER: c

FEEDBACK:

a.

b.

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c. One way to balance gains of free trade realized broadly throughout the economy, with costs usually more concentrated, is to address the needs of firms and workers that have been adversely affected. Trade adjustment assistance policies attempt to share gains from free trade with disadvantaged workers.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC6: - Labor markets
TOPICS: Trade Adjustment Assistance
KEYWORDS: BLOOM'S: Understand

94. Advocates of the U.S. Trade Adjustment Assistance Program maintain that it
a. allows the U.S. government to subsidize firms with comparative advantages.
b. decreases the prices of imports that compete with American-produced goods.
c. increases the political acceptances of efforts to reduce trade barriers.
d. allows the United States to be a net exporter of oil and natural gas.

ANSWER: c
FEEDBACK:

a.

b.

c. Advocates of the U.S. Trade Adjustment Assistance Program maintain that it increases the political acceptances of efforts to reduce trade barriers.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Adjustment Assistance
KEYWORDS: BLOOM'S: Understand

95. Critics of the U.S. Trade Adjustment Assistance Program argue that
a. it increases the prices of goods and services that are imported by Americans.
b. it encourages American companies to outsource more of their production overseas.
c. it lessens the desire of American firms to invest in new technologies to improve their competitiveness.
d. American workers whose jobs are displaced by imports are no more deserving of aid than other Americans suffering job losses.

ANSWER: d
FEEDBACK:

a.

b.

c.

d. Critics of the U.S. Trade Adjustment Assistance Program argue that American

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workers whose jobs are displaced by imports are no more deserving of aid than other Americans suffering job losses.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC6: - Labor markets
TOPICS: Trade Adjustment Assistance
KEYWORDS: BLOOM'S: Understand

96. Assume that trade restrictions are adopted by a country. The General Agreement on Tariffs and Trade (GATT) would have obligated the country to use a tariff rather than a quota because a tariff is more visible and its trade effects are more easily determined.

a. True
b. False

ANSWER: True
FEEDBACK:
Correct GATT obligated its members to use tariffs rather than quotas to protect their domestic industries. GATT's presumption was that quotas were inherently more trade distorting than tariffs because they allowed the user to discriminate between suppliers, were not predictable and transparent to the exporter, and imposed a maximum ceiling on imports.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: General Agreement on Tariffs and Trade
KEYWORDS: BLOOM'S: Understand

97. The high point of U.S. protectionism occurred with the passage of the Kennedy Act in the 1960s.

a. True
b. False

ANSWER: False
FEEDBACK:
Correct
Incorrect The high point of U.S. protectionism occurred with the passage of the Smoot–Hawley Act in 1930, under which U.S. average tariffs were raised to 53 percent on protected imports.
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance

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TOPICS: Smoot-Hawley Act
KEYWORDS: BLOOM'S: Remember

98. With the passage of the Smoot-Hawley Act in 1930, U.S. average tariffs were raised to over 50 percent on protected imports.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* The high point of U.S. protectionism occurred with the passage of the Smoot-Hawley Act in 1930, under which U.S. average tariffs were raised to 53 percent on protected imports.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Smoot-Hawley Act
KEYWORDS: BLOOM'S: Remember

99. Proponents of the Smoot-Hawley Act of 1930 viewed it as a means of combating domestic unemployment.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* The Great Depression resulted in the country's unemployment steadily climbing upward and ultimately peaking at 25 percent in 1933. Proponents of the Smoot-Hawley Act of 1930 viewed it as a means of combating domestic unemployment.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Smoot-Hawley Act
KEYWORDS: BLOOM'S: Remember

100. It is generally agreed that the Smoot-Hawley Act of 1930 led to improvements in U.S. exports and an overall increase in U.S. output and employment.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect Within two years after the Smoot-Hawley Act, U.S. exports decreased by nearly

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two-thirds, world trade declined, and the global economy fell into the Great Depression.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Smoot-Hawley Act
KEYWORDS: BLOOM'S: Remember

101. According to the Reciprocal Trade Agreements Act of 1934, the president could lower tariffs by up to 50 percent of the existing level without congressional approval.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* The Reciprocal Trade Agreements Act changed U.S. trade policies by transferring authority from the Congress to the president. Without congressional approval, the president could lower tariffs by up to 50 percent of the existing level.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Reciprocal Trade Agreements Act
KEYWORDS: BLOOM'S: Remember

102. Under the normal-trade-relations (most-favored-nation) principle, two nations agree to apply tariffs to each other at rates as low as those applied to any other nation.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* The Reciprocal Trade Agreements Act provided generalized tariff reductions through the most-favored-nation (MFN) clause. This clause means that countries cannot discriminate between their trading partners participating in a trade agreement.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
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STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Reciprocal Trade Agreements Act
KEYWORDS: BLOOM'S: Remember

103. According to the normal-trade-relations (most-favored-nation, or MFN) principle, if the United States extends MFN treatment to China and then grants a low tariff on imports of shirts from South Korea, the United States is obligated to provide the identical low tariff on imports of shirts from China.

a. True
b. False

ANSWER: True
RATIONALE: The Reciprocal Trade Agreements Act provided generalized tariff reductions through the MFN clause. This clause means that countries cannot discriminate between their trading partners participating in a trade agreement.

If the United States extends MFN treatment to China and then grants a low tariff on imports of shirts from South Korea, the United States is obligated to provide the identical low tariff on imports of shirts from China.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Reciprocal Trade Agreements Act
KEYWORDS: BLOOM'S: Remember

104. U.S. tariffs on imports from countries issued normal-trade-relations (most-favored-nation) status are often three or four times as high as those on comparable imports from nations NOT receiving that status.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect The Reciprocal Trade Agreements Act provided generalized tariff reductions through the most-favored-nation (MFN) clause. This clause means that the country imposes lower tariff rates on products from countries with MFN status.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Reciprocal Trade Agreements Act
KEYWORDS: BLOOM'S: Understand

105. According to the General Agreement on Tariffs and Trade and its successor, the World Trade Organization, only bilateral trade negotiations can take place between a country and its trading partners.

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a. True
b. False

ANSWER: False

FEEDBACK:
Correct
Incorrect With the advent of GATT, trade negotiations were conducted on a multilateral basis that involved all GATT members participating in the negotiations.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: General Agreement on Tariffs and Trade
KEYWORDS: BLOOM'S: Remember

106. Members of the General Agreement on Tariffs and Trade and its successor, the World Trade Organization, agree to the principle of nondiscrimination in trade and the reduction of trade barriers by multilateral negotiations.

a. True
b. False

ANSWER: True

FEEDBACK:
Correct According to GATT (and its successor, the WTO), a member country should not discriminate between its trading partners. The two pillars of the nondiscrimination principle are the MFN principle and the national treatment principle.
Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: General Agreement on Tariffs and Trade
KEYWORDS: BLOOM'S: Remember

107. The Uruguay Round of trade negotiations resulted in the General Agreement on Tariffs and Trade being succeeded by the World Trade Organization.

a. True
b. False

ANSWER: True

FEEDBACK:
Correct In 1995, GATT was transformed into the World Trade Organization (WTO), which was established to administer the new global trade rules agreed in the Uruguay Round of multilateral trade negotiations.
Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False

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HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: World Trade Organization
KEYWORDS: BLOOM'S: Remember

108. The only members of the World Trade Organization, are developing countries rather than developed countries.

a. True

b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect In 2020, the WTO consisted of 164 nations accounting for more than 97 percent of world trade.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: World Trade Organization
KEYWORDS: BLOOM'S: Remember

109. According to the fast-track provision of U.S. trade law, once the president has completed trade negotiations, their outcome is subject to a vote (without amendment) in Congress within 90 legislative days of submission.

a. True

b. False

ANSWER: True
FEEDBACK: *Correct* According to the fast-track provision of U.S. trade law, once the trade negotiations are completed, their outcome is subject only to a straight up-or-down vote (without amendment) in both houses of Congress within 90 legislative days of submission.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Promotion Authority (Fast-Track Authority)
KEYWORDS: BLOOM'S: Remember

110. The fast-track provision of U.S. trade law has the effect of speeding up the timetable during which the president negotiates trade agreements with foreign governments.

a. True

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b. False

ANSWER: True

FEEDBACK:
Correct According to the fast-track provision of U.S. trade law, once the trade negotiations are completed, their outcome is subject only to a straight up-or-down vote (without amendment) in both houses of Congress within 90 legislative days of submission.
Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Promotion Authority (Fast-Track Authority)
KEYWORDS: BLOOM'S: Remember

111. The main focus of the Uruguay Round of multilateral trade negotiations was on tariff barriers rather than nontariff trade barriers.

a. True
b. False

ANSWER: False

FEEDBACK:
Correct
Incorrect The Uruguay Round of multilateral trade negotiations went beyond tariff reductions to liberalize various nontariff trade barriers.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: General Agreement on Tariffs and Trade
KEYWORDS: BLOOM'S: Remember

112. Although the Uruguay Round of multilateral trade negotiations succeeded in reducing nontariff trade barriers, it could NOT achieve reductions in tariff trade barriers.

a. True
b. False

ANSWER: False

FEEDBACK:
Correct
Incorrect The Uruguay Round of multilateral trade negotiations went beyond tariff reductions to liberalize various nontariff trade barriers. The Uruguay Round achieved across-the-board tariff cuts for industrial countries and the reduction of nontariff barriers.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False

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HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: General Agreement on Tariffs and Trade
KEYWORDS: BLOOM'S: Remember

113. Among the codes of conduct addressed at the Tokyo Round of multilateral trade negotiations were customs valuation, product standards, subsidies and countervailing duties, government procurement policies, and import licensing procedures.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* At the Tokyo Round, codes of conduct were established in six areas: customs valuation, import licensing, government procurement, technical barriers to trade (such as product standards), antidumping procedures, and countervailing duties.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: General Agreement on Tariffs and Trade
KEYWORDS: BLOOM'S: Remember

114. U.S. trade-remedy laws attempt to redress hardships for U.S. firms resulting from actions and policies of foreign firms and governments.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* Trade-remedy laws can help protect domestic firms from stiff foreign competition. These laws include the escape clause, provisions for antidumping and countervailing duties, and Section 301 of the 1974 Trade Act, which addresses unfair trading practices of foreign nations.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Safeguards (The Escape Clause): Emergency Protection from Imports
KEYWORDS: BLOOM'S: Remember

115. According to U.S. trade law, the escape clause provides relief to U.S. firms that experience unfair foreign

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competition.

a. True

b. False

ANSWER: False

FEEDBACK: *Correct*

Incorrect The escape clause provides temporary safeguards (relief) to U.S. firms and workers who are substantially injured from surges in imports that are fairly traded. To offset surging imports, the escape clause allows the president to terminate or modify trade concessions granted to foreign nations and to levy trade restrictions.

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Safeguards (The Escape Clause): Emergency Protection from Imports

KEYWORDS: BLOOM'S: Remember

116. According to the escape clause, temporary trade restrictions may be imposed in industries where domestic producers are substantially being harmed by surging imports.

a. True

b. False

ANSWER: True

FEEDBACK: *Correct* The escape clause provides temporary safeguards (relief) to U.S. firms and workers who are substantially injured from surges in imports that are fairly traded. To offset surging imports, the escape clause allows the president to terminate or modify trade concessions granted to foreign nations and to levy trade restrictions.

Incorrect

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Safeguards (The Escape Clause): Emergency Protection from Imports

KEYWORDS: BLOOM'S: Remember

117. The purpose of "countervailing duties," as levied by the domestic government, is to neutralize import tariffs imposed by foreign governments.

a. True

b. False

ANSWER: False

FEEDBACK: *Correct*

Incorrect Countervailing duties are intended to offset any unfair competitive advantage that foreign producers might gain over domestic producers because of foreign subsidies.

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POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Countervailing Duties: Protection Against Foreign Export Subsidies
KEYWORDS: BLOOM'S: Remember

118. Under the provisions of the World Trade Organization (WTO), Canada would have the right to impose countervailing duties on imports of South Korean steel when the South Korean government provides export subsidies to its steelmakers.

a. True
b. False

ANSWER: True
FEEDBACK:
Correct Under the provisions of the WTO, the complaining country is relatively free to decide how to implement the authorized retaliation—that is, what products to target with its retaliatory tariffs. In practice, most WTO disputes are resolved without exhausting the legal process and the implementation of retaliatory tariffs.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Countervailing Duties: Protection Against Foreign Export Subsidies
KEYWORDS: BLOOM'S: Apply

119. Economic theory suggests that if France is a net importer of automobiles, the production of which is subsidized by the Korean government, the overall welfare of France decreases because of the Korean subsidy.

a. True
b. False

ANSWER: False
FEEDBACK:
Correct
Incorrect Economic theory suggests that if a nation is a net importer of a product subsidized or dumped by foreigners, then the nation as a whole gains from the foreign subsidy or dumping. This is because the gains to domestic consumers of the subsidized or dumped good more than offset the losses to domestic producers of the import-competing goods.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

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STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Antidumping Duties: Protection Against Foreign Dumping
KEYWORDS: BLOOM'S: Understand

120. An antidumping duty levied on imports of foreign-produced steel leads to an increase in consumer surplus in the home country.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect Economic theory suggests that if a nation is a net importer of a product subsidized or dumped by foreigners, then the nation as a whole gains from the foreign subsidy or dumping. This is because the gains to domestic consumers of the subsidized or dumped good more than offset the losses to domestic producers of the import-competing goods.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Antidumping Duties: Protection Against Foreign Dumping
KEYWORDS: BLOOM'S: Analyze

121. U.S. antidumping duties are intended to neutralize exports to the United States at prices below average total cost or exports to the United States at prices lower than those charged in the exporter's home market.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* U.S. antidumping duties are intended to neutralize two unfair trading practices: export sales in the United States at prices below average total cost, and international price discrimination in which foreign firms sell in the United States at a price lower than that charged in the exporter’s home market.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Antidumping Duties: Protection Against Foreign Dumping
KEYWORDS: BLOOM'S: Understand

122. Intellectual property refers to holdings of rare books and pieces of art that are traded on the world market.

a. True
b. False

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ANSWER: False
FEEDBACK: *Correct*
Incorrect Intellectual property includes copyrights, trademarks, and patents.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Protection of Intellectual Property Rights
KEYWORDS: BLOOM'S: Understand

123. Copyrights, trademarks, and patents are used to protect the intellectual property of a nation from foreign imitators.
a. True
b. False
ANSWER: True
FEEDBACK: *Correct* Intellectual property includes copyrights, trademarks, and patents used to protect the intellectual property of a nation from foreign imitators.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Protection of Intellectual Property Rights
KEYWORDS: BLOOM'S: Understand

124. Industrial policies attempt to foster the development of industries that offer long-run comparative disadvantages and which are insulated from other sectors of the economy.
a. True
b. False
ANSWER: False
FEEDBACK: *Correct*
Incorrect Industrial policies involve government channeling of resources into specific, targeted industries that the government views as important for future economic growth and are designed to enhance the competitiveness of domestic producers.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance

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TOPICS: Industrial Policies of the United States
KEYWORDS: BLOOM'S: Remember

125. Industrial policies of the U.S. government have included subsidizing particular firms to promote national champions, nationalizing basic industries, and encouraging cartelization of industries.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect Industrial policies involve government channeling of resources into specific, targeted industries that it views as important for future economic growth and are designed to enhance the competitiveness of domestic producers.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Industrial Policies of the United States
KEYWORDS: BLOOM'S: Remember

126. The Export-Import Bank provides export-credit subsidies to U.S. producers of agricultural goods.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect The Export-Import Bank is the official export credit agency of the U.S. government. Its purpose is to provide cheap credit for foreign customers who purchase America-made products.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Industrial Policies of the United States
KEYWORDS: BLOOM'S: Remember

127. Major beneficiaries of export-credit subsidies, granted by the Export-Import Bank, have included U.S. producers of aircraft, telecommunications, and power-generating equipment.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* The Export-Import Bank is the official export credit agency of the U.S. government. Its purpose is to provide cheap credit for foreign customers who purchase America-made products. Major beneficiaries have included aircraft,

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telecommunications, power-generating equipment, and energy developments.

Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Industrial Policies of the United States
KEYWORDS: BLOOM'S: Remember

128. The U.S. government fosters large-scale projects such as irrigation facilities in agriculture.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* The U.S. government is involved in research in agricultural techniques and disseminating this information to farmers through its agricultural extension service, as well as fostering large-scale projects such as irrigation facilities.

Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Industrial Policies of the United States
KEYWORDS: BLOOM'S: Remember

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129. If the U.S. government pursued a "knowledge-based growth policy," it would subsidize particular firms to help them compete in the world economy.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*

Incorrect Industrial policies involve government channeling of resources into specific, targeted industries that the government views as important for future economic growth and are designed to enhance the competitiveness of domestic producers.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
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STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Industrial Policies of the United States

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KEYWORDS: BLOOM'S: Remember

130. In the post-World War II era, the U.S. government formed industrial policies to encourage the development of its aerospace, energy, shipbuilding, and defense industries.

a. True

b. False

ANSWER: True

FEEDBACK: *Correct* The U.S. government has provided support for the shipping, aerospace, shipbuilding, energy, and defense industries, primarily on the grounds of national security.

Incorrect

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Industrial Policies of the United States

KEYWORDS: BLOOM'S: Remember

131. According to the strategic trade policy hypothesis, governmental subsidies granted to domestic producers can help them in capturing economic profits from foreign competitors.

a. True

b. False

ANSWER: True

FEEDBACK: *Correct* According to the strategic trade policy concept, government can assist firms in capturing economic profits from foreign competitors.

Incorrect

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Strategic Trade Policy

KEYWORDS: BLOOM'S: Understand

132. The strategic trade policy hypothesis assumes that domestic firms operate under increasing cost conditions as well as in perfectly competitive markets.

a. True

b. False

ANSWER: False

FEEDBACK: *Correct*

Incorrect The strategic trade policy concept applies to firms in imperfectly competitive markets.

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POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Strategic Trade Policy
KEYWORDS: BLOOM'S: Understand

133. According to the strategic trade policy hypothesis, government can alter the terms of competition to favor domestic companies, thus increasing their profits at the expense of their rivals.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* According to the strategic trade policy concept, government can assist firms in capturing economic profits from foreign competitors.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Strategic Trade Policy
KEYWORDS: BLOOM'S: Understand

134. The classical theory of comparative advantage assumes that firms operate in imperfectly competitive markets, while the theory of strategic trade policy assumes that firms operate in perfectly competitive markets.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect The classical theory was based on perfect competition. The strategic trade policy concept applies to firms in imperfectly competitive markets.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Strategic Trade Policy
KEYWORDS: BLOOM'S: Understand

135. According to the strategic trade policy hypothesis, a subsidy granted to domestic exporters may lead to increased

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export profits, which more than offset the cost of the subsidy to domestic taxpayers.

a. True

b. False

ANSWER: True

FEEDBACK: *Correct* According to the strategic trade policy concept, government can assist firms in capturing economic profits from foreign competitors. A subsidy granted to domestic exporters may lead to increased export profits, which more than offset the cost of the subsidy to domestic taxpayers.

Incorrect

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Strategic Trade Policy

KEYWORDS: BLOOM'S: Understand

136. Economic sanctions are most effective in pressuring the target country to modify its behavior when the sanctions are imposed by a small number of countries and when the target country had weak economic ties to the imposing countries before the sanctions were initiated.

a. True

b. False

ANSWER: False

FEEDBACK: *Correct*

Incorrect Among the most important determinants of the success of economic sanctions are (1) the number of nations imposing sanctions, (2) the degree to which the target nation has economic and political ties to the imposing nation(s), (3) the extent of political opposition in the target nation, and (4) cultural factors in the target nation.

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Economic Sanctions

KEYWORDS: BLOOM'S: Understand

137. It is widely recognized that the economic sanctions levied against Iraq in 1990 were a major factor in causing Iraq to withdraw its military forces from Kuwait.

a. True

b. False

ANSWER: False

FEEDBACK: *Correct*

Incorrect The objective of the economic sanctions was to terminate Iraq's military takeover

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of Kuwait. Iraq did not withdraw its military forces from Kuwait as a result.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Sanctions
KEYWORDS: BLOOM'S: Understand

138. Assume that Russia has a comparative advantage in vodka. If the United States extends Russia the benefits of the normal-trade-relations (most-favored-nation) principle, U.S. consumer surplus decreases in the vodka market.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect If the United States extends Russia the benefits of the normal-trade-relations (most-favored-nation) principle, U.S. consumer surplus increases in the vodka market.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Strategic Trade Policy
KEYWORDS: BLOOM'S: Apply

139. Assume that the United States imports chemicals from Germany. Trade theory predicts that if the German government grants an export subsidy to its chemical firms, the overall welfare of the United States will increase.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* Trade theory predicts that if the German government grants an export subsidy to its chemical firms, the overall welfare of the United States will increase.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
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STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Strategic Trade Policy
KEYWORDS: BLOOM'S: Apply

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140. Concerning industrial policies, the United States has nationalized its major industries in an attempt to promote global champions.

a. True

b. False

ANSWER: False

FEEDBACK: *Correct*

Incorrect Industrial policies involve government channeling of resources into specific, targeted industries that the government views as important for future economic growth and are designed to enhance the competitiveness of domestic producers.

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Industrial Policies of the United States

KEYWORDS: BLOOM'S: Understand

141. The Uruguay Round of multilateral trade negotiations succeeded in establishing the World Trade Organization.

a. True

b. False

ANSWER: True

FEEDBACK: *Correct* The Uruguay Round of multilateral trade negotiations established the World Trade Organization.

Incorrect

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: World Trade Organization

KEYWORDS: BLOOM'S: Remember

142. Established in 1995, the World Trade Organization took charge of administering the new global trade rules agreed upon in the Uruguay Round of multilateral trade negotiations.

a. True

b. False

ANSWER: True

FEEDBACK: *Correct* Established in 1995, the World Trade Organization took charge of administering the new global trade rules agreed upon in the Uruguay Round of multilateral trade negotiations.

Incorrect

POINTS: 1

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DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: World Trade Organization
KEYWORDS: BLOOM'S: Remember

143. The World Trade Organization (WTO) brings into the multilateral trading system manufactured goods and agricultural products but NOT trade in services, intellectual property protection, and investment.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect The WTO has a far wider scope than the old GATT, bringing into the multilateral trading system for the first time trade in services, intellectual property, and investment.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: World Trade Organization
KEYWORDS: BLOOM'S: Remember

144. The General Agreement on Tariffs and Trade (GATT) was founded in 1995 as a successor to the World Trade Organization.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect In 1995, GATT was transformed into the World Trade Organization (WTO), which embodies the main provisions of GATT and provides a mechanism intended to improve the process of resolving trade disputes among member nations.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: General Agreement on Tariffs and Trade
KEYWORDS: BLOOM'S: Remember

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145. Safeguard protection (the escape clause) applies to permanent protection provided to home industries encountering competition from unfairly traded foreign goods.

a. True

b. False

ANSWER: False

FEEDBACK: *Correct*

Incorrect The escape clause provides temporary safeguards (relief) to U.S. firms and workers who are substantially injured from surges in imports that are fairly traded.

POINTS: 1

DIFFICULTY: Easy

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Safeguards (the Escape Clause): Emergency Protection from Imports

KEYWORDS: BLOOM'S: Understand

146. Regarding the overall welfare of an importing country, dumping is beneficial to the country.

a. True

b. False

ANSWER: True

FEEDBACK: *Correct* Economic theory suggests that if a nation is a net importer of a product subsidized or dumped by foreigners, then the nation as a whole gains from the foreign subsidy or dumping.

Incorrect

POINTS: 1

DIFFICULTY: Easy

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Antidumping Duties: Protection against Foreign Dumping

KEYWORDS: BLOOM'S: Remember

147. The Smoot-Hawley Tariff Act of 1930 cut U.S. import tariffs to record low levels.

a. True

b. False

ANSWER: False

FEEDBACK: *Correct*

Incorrect The Smoot-Hawley Act of 1930 raised U.S. tariffs to an all-time high, 53 percent on protected imports.

POINTS: 1

DIFFICULTY: Easy

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic

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STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Smoot–Hawley Act
KEYWORDS: BLOOM'S: Remember

148. Under U.S. trade law, safeguards (the escape clause) allow for the setting of trade restrictions on unfairly traded products that harm American producers.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect The escape clause provides temporary safeguards (relief) to U.S. firms and workers who are substantially injured from surges in imports that are fairly traded. To offset surging imports, the escape clause allows the president to terminate or modify trade concessions granted to foreign nations and to levy trade restrictions.
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Safeguards (the Escape Clause): Emergency Protection from Imports
KEYWORDS: BLOOM'S: Remember

149. Critics of the U.S. Trade Adjustment Assistance Program wonder what makes losing one's job to international trade worthy of the special treatment.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* Some critics ponder what makes losing one's job to international trade worthy of the special treatment provided by trade-adjustment assistance compared to losing one's job because of cyclical downturns in the economy or technological change.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Adjustment Assistance
KEYWORDS: BLOOM'S: Understand

150. The effect of antidumping duties is to impose a floor on the price of foreign goods that are imported by the home country.

a. True
b. False

ANSWER: True

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FEEDBACK: *Correct* U.S. antidumping duties are intended to neutralize two unfair trading practices: export sales in the United States at prices below average total cost, and international price discrimination in which foreign firms sell in the United States at a price lower than that charged in the exporter's home market. The effect of antidumping duties is to impose a floor on the price of foreign goods that are imported by the home country.

Incorrect

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Antidumping Duties: Protection against Foreign Dumping
KEYWORDS: BLOOM'S: Remember

151. The Doha Round of trade negotiations addressed both tariffs and nontariff trade barriers and aimed to negotiate global rules in four new areas.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* The aims of the Doha Round were to decrease trade-distorting subsidies, cut tariffs, free up trade in services, and negotiate global rules in four new areas—competition, investment, government procurement, and trade facilitation.

Incorrect

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: General Agreement on Tariffs and Trade
KEYWORDS: BLOOM'S: Understand

152. If fast-track authority is approved and trade negotiations are completed, Congress must vote on the agreement (without amendment) within 90 legislative days of submission.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* According to the fast-track provision of U.S. trade law, once the trade negotiations are completed, their outcome is subject only to a straight up-or-down vote (without amendment) in both houses of Congress within 90 legislative days of submission.

Incorrect

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False

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NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Promotion Authority (Fast-Track Authority)
KEYWORDS: BLOOM'S: Remember

153. The United States has often regarded China as a major violator of intellectual property laws.

a. True

b. False

ANSWER: True
FEEDBACK: *Correct* When China became a member of the WTO in 2001, it agreed to implement the WTO's standards on IPR protection and rules for enforcement. However, the United States has often regarded China as a major violator of intellectual property laws.
Incorrect
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC10: - The role of government
TOPICS: Protection of Intellectual Property Rights
KEYWORDS: BLOOM'S: Remember

154. For the United States, the trade adjustment assistance program is founded on the rationale that if society enjoys welfare gains from the increased efficiency stemming from trade liberalization, compensation should be provided for those who are injured by import competition.

a. True

b. False

ANSWER: True
FEEDBACK: *Correct* Because foreign competition may displace import-competing producers, the United States and other nations have initiated programs of trade-adjustment assistance involving government aid to adversely affected businesses, workers, and communities.
Incorrect
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Trade Adjustment Assistance
KEYWORDS: BLOOM'S: Remember

155. The purpose of the U.S. Export-Import Bank (Eximbank) is to provide subsidized loans to American import–competing producers.

a. True

b. False

ANSWER: False

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FEEDBACK: *Correct*

Incorrect Eximbank provides export subsidies to American manufacturers to encourage international sales, thus providing jobs for Americans.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Industrial Policies of the United States
KEYWORDS: BLOOM'S: Remember

156. Delta Airlines and Southwest Airlines have been critics of the U.S. Export-Import Bank. They maintain that, because they are American companies, they cannot benefit from the Bank's export subsidies. However, their foreign rivals do benefit from the Bank's export subsidies.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* Carriers such as Delta Airlines and Southwest Airlines contend that because they are American companies, they cannot receive these export subsidies, which can greatly increase an airline's access to funding and cut its cost of borrowing, while their foreign rivals can benefit from such subsidies.

Incorrect

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Industrial Policies of the United States
KEYWORDS: BLOOM'S: Remember

157. Responding to Russia's annexation of Crimea in 2014, the United States and its allies imposed economic sanctions against Russia.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* In 2004, the United States and its allies imposed economic sanctions against Russia to discourage annexation of Crimea.

Incorrect

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Economic Sanctions

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KEYWORDS: BLOOM'S: Remember

158. Under the World Trade Organization (WTO), when countries agree to open their markets for goods or services, they "bind" their commitments. These bindings amount to ceilings on import tariff rates.

a. True

b. False

ANSWER: True

FEEDBACK:

Correct Under the WTO, when members open their markets through the removal of barriers to trade, they bind their commitments. Therefore, when they reduce their tariffs through negotiations, they commit to bind the tariff reduction at a fixed level negotiated with their trading partners, beyond which tariffs may not be increased.

Incorrect

POINTS: 1

DIFFICULTY: Easy

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: World Trade Organization

KEYWORDS: BLOOM'S: Remember

159. Normal trade relations (the most-favored-nation clause) tend to result in discriminatory treatment regarding tariff reductions among nations.

a. True

b. False

ANSWER: False

FEEDBACK:

Correct

Incorrect The Reciprocal Trade Agreements Act provided generalized tariff reductions through the most-favored-nation (MFN) clause. This clause means that countries cannot discriminate between their trading partners participating in a trade agreement.

POINTS: 1

DIFFICULTY: Easy

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Reciprocal Trade Agreements Act

KEYWORDS: BLOOM'S: Remember

160. In the early 1800s, southern states pressed for free trade so that they could buy cheaper foreign manufactured goods in exchange for their agricultural goods.

a. True

b. False

ANSWER: True

FEEDBACK:

Correct In the early 1800s, southern states pressed for free trade. They claimed that with tariffs, they would have to pay more for manufactured imports while getting less for the cotton they sold abroad.

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Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: U.S. Tariff Policies before 1930
KEYWORDS: BLOOM'S: Understand

161. One objective of the World Trade Organization (WTO) is to encourage a nondiscriminatory trade environment.
a. True
b. False

ANSWER: True
RATIONALE: One objective of the WTO is to encourage a nondiscriminatory trade environment.

According to GATT (and its successor, the WTO), a member country should not discriminate between its trading partners. The two pillars of the nondiscrimination principle are the most-favored-nation principle and the national treatment principle.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: World Trade Organization
KEYWORDS: BLOOM'S: Remember

162. Critics of the World Trade Organization argue that liberalized trade can result in environmental degradation and business firms avoiding labor protections such as collective bargaining rights and workplace safety.
a. True
b. False

ANSWER: True
FEEDBACK: *Correct* Some environmentalists are concerned that concerned that there are circumstances in which trade and the pursuit of trade liberalization may have harmful environmental effects, and business firms avoiding labor protections such as collective bargaining rights and workplace safety.

Incorrect

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: World Trade Organization
KEYWORDS: BLOOM'S: Understand

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163. What is the essential idea behind strategic trade policy?

ANSWER:	The essential notion underlying strategic trade policy is imperfect competition.
POINTS:	1
DIFFICULTY:	Moderate
QUESTION TYPE:	Subjective Short Answer
HAS VARIABLES:	False
STUDENT ENTRY MODE:	Basic
NATIONAL STANDARDS:	United States - BUSPROG: - Analytic United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS:	United States - PA - DISC3: - International trade and finance
TOPICS:	Strategic Trade Policy
KEYWORDS:	BLOOM'S: Understand

164. What is the basis for trade adjustment assistance?

ANSWER:	The rationale for trade adjustment assistance is that if society in general enjoys welfare gains from the increased efficiency stemming from trade liberalization, some sort of compensation should be provided for those who are temporarily injured by import competition.
POINTS:	1
DIFFICULTY:	Moderate
QUESTION TYPE:	Subjective Short Answer
HAS VARIABLES:	False
STUDENT ENTRY MODE:	Basic
NATIONAL STANDARDS:	United States - BUSPROG: - Analytic United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS:	United States - PA - DISC3: - International trade and finance
TOPICS:	Trade Adjustment Assistance
KEYWORDS:	BLOOM'S: Understand

165. Explain how advocates of strategic trade policy differ from the classical free traders in their treatment of externalities.

ANSWER:	Advocates of strategic trade policy recognize that the classical argument for free trade considered externalities at length. The difference, they maintain, is that the classical theory was based on perfect competition and thus could not appreciate the most likely source of the externality, whereas modern theories based on imperfect competition can. The externality in question is the ability of companies to capture the fruits of expensive innovation. Classical theory based on perfect competition neglected this factor because large fixed costs are involved in innovation and research and development, and such costs ensure that the number of competitors in an industry will be small.
POINTS:	1
DIFFICULTY:	Moderate
QUESTION TYPE:	Essay
HAS VARIABLES:	False
STUDENT ENTRY MODE:	Basic
NATIONAL STANDARDS:	United States - BUSPROG: - Analytic United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS:	United States - PA - DISC3: - International trade and finance
TOPICS:	Strategic Trade Policy

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KEYWORDS: BLOOM'S: Understand

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